It may be objected that our criticism is somewhat far-fetched, since the building was unlikely to return more than the interest on the income bonds in any case, so that the equity retained in full by the stockholders was scarcely worth arguing about. But it is highly fallacious to measure the *potential* earnings by the results shown in an unparalleled depression. Viewing the proposition over the long-term future, there were several different kinds of possibilities which might make the stock equity valuable. Among them were the following:

1. The return of prosperity and even of a new real estate boom.
2. Substantial inflation of the currency, which would reduce the burden of the bonded debt.
3. Some special favorable development affecting the neighborhood or the building. It happened that immediately after the Reorganization Plan was consummated, the New York Stock Exchange made every arrangement to transfer its business to Newark, and this very office building was spoken of as the home of the Curb Exchange. Had this actually come about, a large profit would have been realized entirely by the old stockholders of this formerly bankrupt enterprise. This profit should properly have belonged to the bondholders, because they took all the risk of future loss (as shown by the decline of the market price of the issue to 4 in February 1933).

Attention should be called to the fact that this property, valued at $5,500,000, was sold at foreclosure for $100,000, netting the undepositing bondholders about 5 cents on the dollar. (The issue had been floated at 100 in 1927.) That this was a grossly inadequate price is clear from the fact that *net earnings after taxes* for the first half of 1932 had been $67,000. In the writers' view, the transfer of property at a negligible price in pursuance of a reorganization scheme of this sort is more inequitable than the "freezing out" of stockholders or other owners in the ordinary bankruptcy proceeding. The right of the creditors to levy on the assets often works great hardship, but it can scarcely be called unfair in the light of the specific terms of the loan agreement and the original possibilities of profit to the stockholder from the use of the borrowed funds. But in the Industrial Office Building example, the judicial process was availed of to deprive the individual bondholder of the remedy which he had been assured he would have in the event of default—*viz.*, either the taking over of the property on his behalf, or the distribution to him of his share of the cash value of the property realized in a *bona fide* sale.

A later pronouncement of the United States Supreme Court concerning the *fairness* of reorganization plans is definitely opposed to this type of adjustment of creditors' and stockholders' interests. See *Case* vs. *Los Angeles Lumber Products*